

Real Estate Broker Guidelines – Uttar Pradesh (UP RERA)

1. Introduction

This document provides **state-specific operational and compliance guidelines for Real Estate Brokers in Uttar Pradesh**, in accordance with: - **Real Estate (Regulation and Development) Act, 2016 (RERA) - Uttar Pradesh Real Estate (Regulation and Development) Rules, 2016** - Regulations issued by **UP RERA Authority (<https://www.up-rera.in>)**

These guidelines apply to all individuals, firms, and companies acting as real estate brokers within Uttar Pradesh.

2. Who is a Real Estate Broker (As per UP RERA)

A Real Estate Broker is any person who: - Acts on behalf of another person to facilitate sale, purchase, or lease of real estate - Introduces buyers and sellers for a fee or commission - Provides real estate consultancy or marketing services

No broker is allowed to operate without UP RERA registration.

3. Mandatory Broker Registration under UP RERA

3.1 Registration Requirement

- Registration with **UP RERA** is compulsory before advertising or dealing in any real estate transaction
- Applies to:
 - Individual brokers
 - Partnership firms
 - LLPs and Companies

3.2 Documents Required (Indicative)

- PAN Card
- Aadhaar (for individuals)
- Address proof
- Business registration proof (if applicable)
- Passport-size photograph
- Bank account details

3.3 Registration Validity

- Broker registration is valid for **5 years**
- Renewal must be applied before expiry

3.4 Display of Registration Number

UP RERA registration number must be clearly mentioned in: - Property advertisements - Websites and portals - Marketing brochures - Social media promotions

4. Roles & Responsibilities of Brokers in Uttar Pradesh

4.1 Deal Only in Registered Projects

- Brokers **must not facilitate** sale or marketing of:
- Unregistered projects
- Projects with expired registration

4.2 Verification Duties

Brokers should verify: - UP RERA project registration number - Approved layout and building plans - Developer credentials - Possession timelines

4.3 Fair Representation

- Act fairly towards both buyers and sellers
 - Avoid false promises related to price, possession, or returns
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5. Ethical Conduct & Professional Standards

A UP RERA registered broker must: - Maintain honesty and integrity - Avoid misleading advertisements - Not indulge in unfair trade practices - Maintain confidentiality of client information - Avoid discrimination on any grounds

Unethical practices include: - Selling illegal or unauthorized projects - Providing false legal assurances - Charging undisclosed brokerage

6. Brokerage & Commission Practices

6.1 Commission Structure (Market Practice)

- Sale Transactions: **1% – 2%** of property value (negotiable)
- Rental Transactions: **One month's rent** (commonly followed)

Brokerage terms must be **mutually agreed in writing** before engagement

6.2 Transparency

- Issue receipts for brokerage collected
 - Avoid collecting advance brokerage without clear terms
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7. Client Engagement Workflow

7.1 Buyer / Tenant

1. Requirement assessment
2. Shortlisting UP RERA registered properties
3. Site visits
4. Negotiation
5. Agreement coordination
6. Registration & possession support

7.2 Seller / Landlord

1. Property evaluation
 2. Pricing strategy
 3. Marketing & listing
 4. Buyer screening
 5. Negotiation
 6. Transaction closure
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8. Documentation Assistance

Brokers may assist with: - Agreement to Sell - Sale Deed / Lease Deed coordination - Token receipts - KYC documentation - Home loan facilitation (optional)

Brokers must **not provide legal advice** unless legally qualified

9. Advertising & Marketing Rules (UP RERA)

- Mention **UP RERA registration number** in all ads
 - Do not publish misleading offers
 - Avoid claims like "guaranteed returns" unless legally approved
 - Use approved layouts and project details only
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10. Record Keeping Requirements

Brokers should maintain records of: - Client agreements - Property details - Site visit logs - Communication records - Brokerage invoices

Recommended record retention period: **Minimum 5 years**

11. Complaints & Dispute Handling

- Address client grievances professionally
 - Maintain written communication
 - Cooperate with UP RERA investigations
 - Follow orders issued by UP RERA Authority
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12. Penalties under UP RERA (Indicative)

- Operating without registration: **₹10,000 per day**, up to **5% of property cost**
 - Continued violation: Cancellation of registration
 - Misrepresentation or fraud: Legal action and penalties
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13. Best Practices for UP Real Estate Brokers

✓ Verify project registration on UP RERA portal ✓ Use written brokerage agreements ✓ Maintain transparent commission terms ✓ Educate clients about RERA rights ✓ Stay updated with UP RERA circulars

14. Disclaimer

This document is for **general guidance and educational purposes only**. For legal interpretation, brokers should refer to **UP RERA Act, Rules, and official notifications**.

Authority: Uttar Pradesh Real Estate Regulatory Authority (UP RERA)

Applicable Law: RERA Act, 2016 & UP RERA Rules, 2016